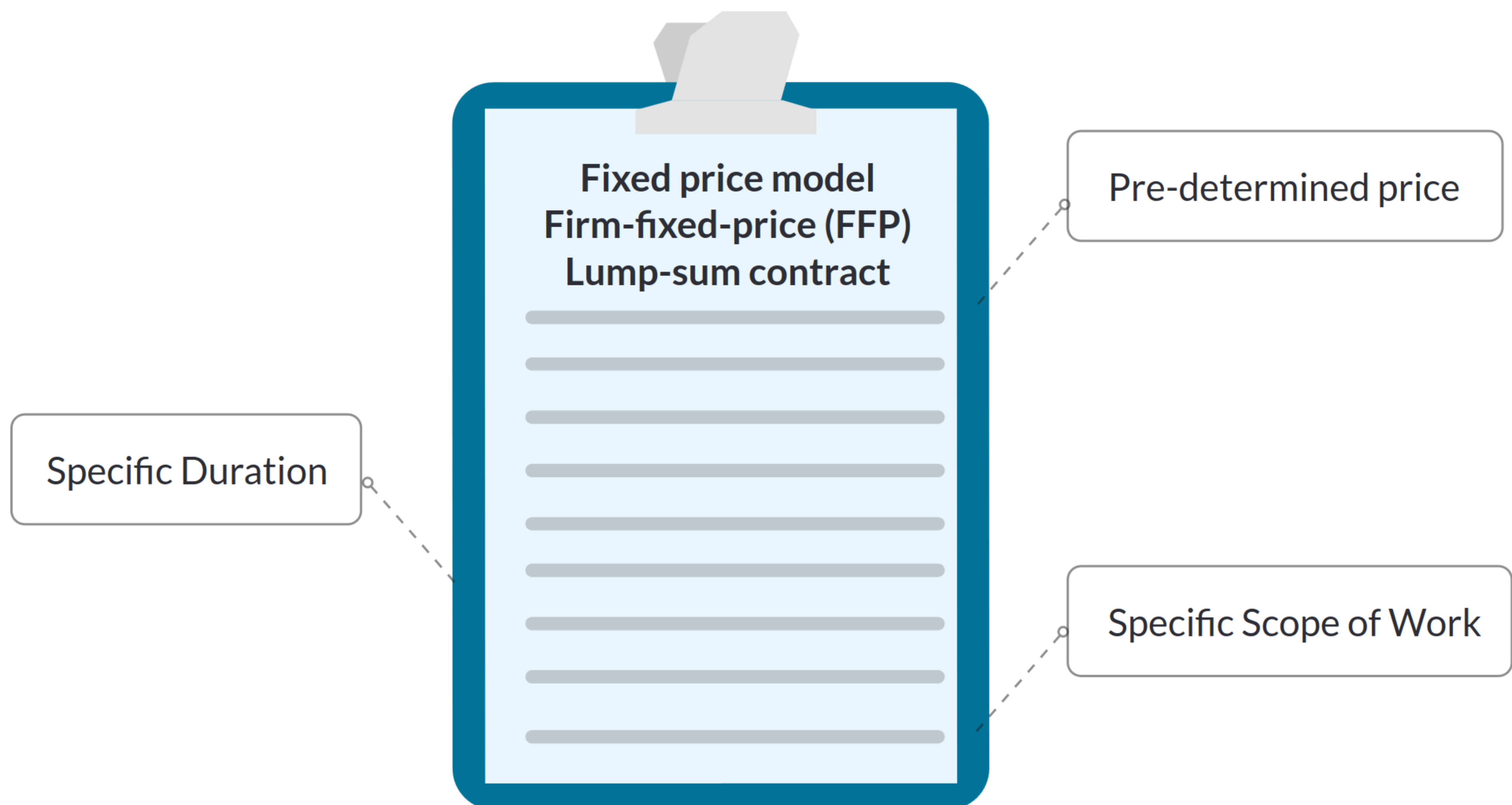


6.1

Fixed Price

Definition and Characteristics of Fixed Price Models

A fixed price model, also known as a firm-fixed-price (FFP) or lump-sum contract, is a pricing structure where the client is charged a predetermined, fixed amount for a specific scope of work and duration.



In this model, the consulting firm estimates the effort required and provides a fixed quote for the entire engagement without disclosing the number of consultants or hourly rates. The client pays the agreed-upon amount, regardless of the actual time or resources the consulting firm expends.

Fixed-price models are commonly used when the scope of work is well-defined, and the consulting firm is confident in estimating the required effort. This model provides certainty and predictability for both parties, as the total cost is known upfront, and the consulting firm assumes the risk of potential cost overruns.

